

Executive Overview

country: All

High Risky

Moderate

Risky

Safe

Canada

UK

USA

Loan Grade

loan_grade

All

Loan Intention

loan_intent

All

Income Band

income_band

All

21,8%

Default Rate %

⚠ Above 15% threshold

32.574

Total Loans

41,7%

High Risky %

\$53,6M

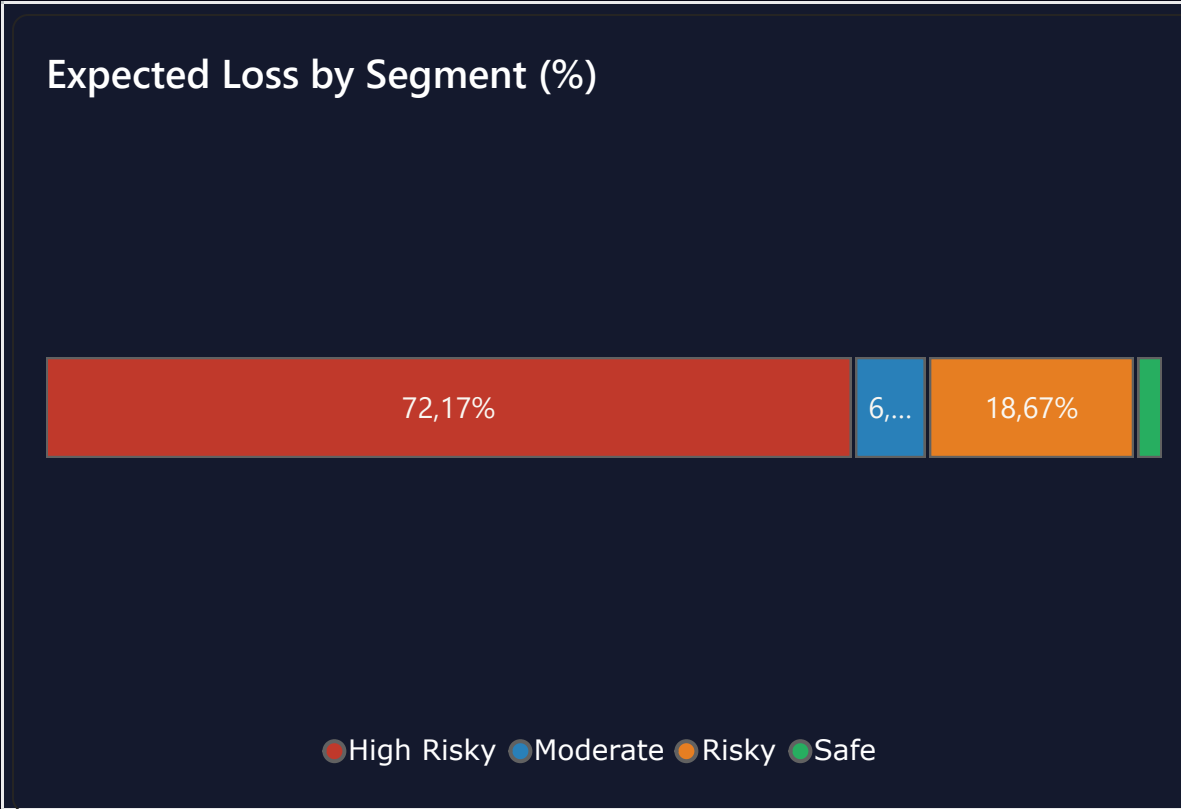
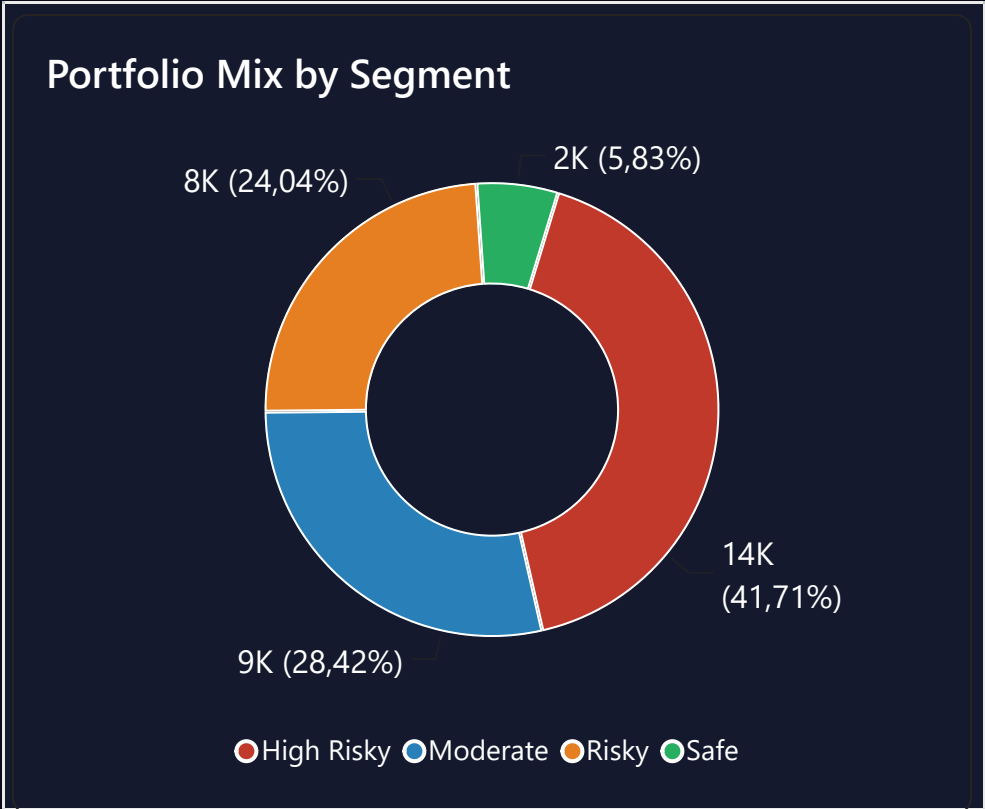
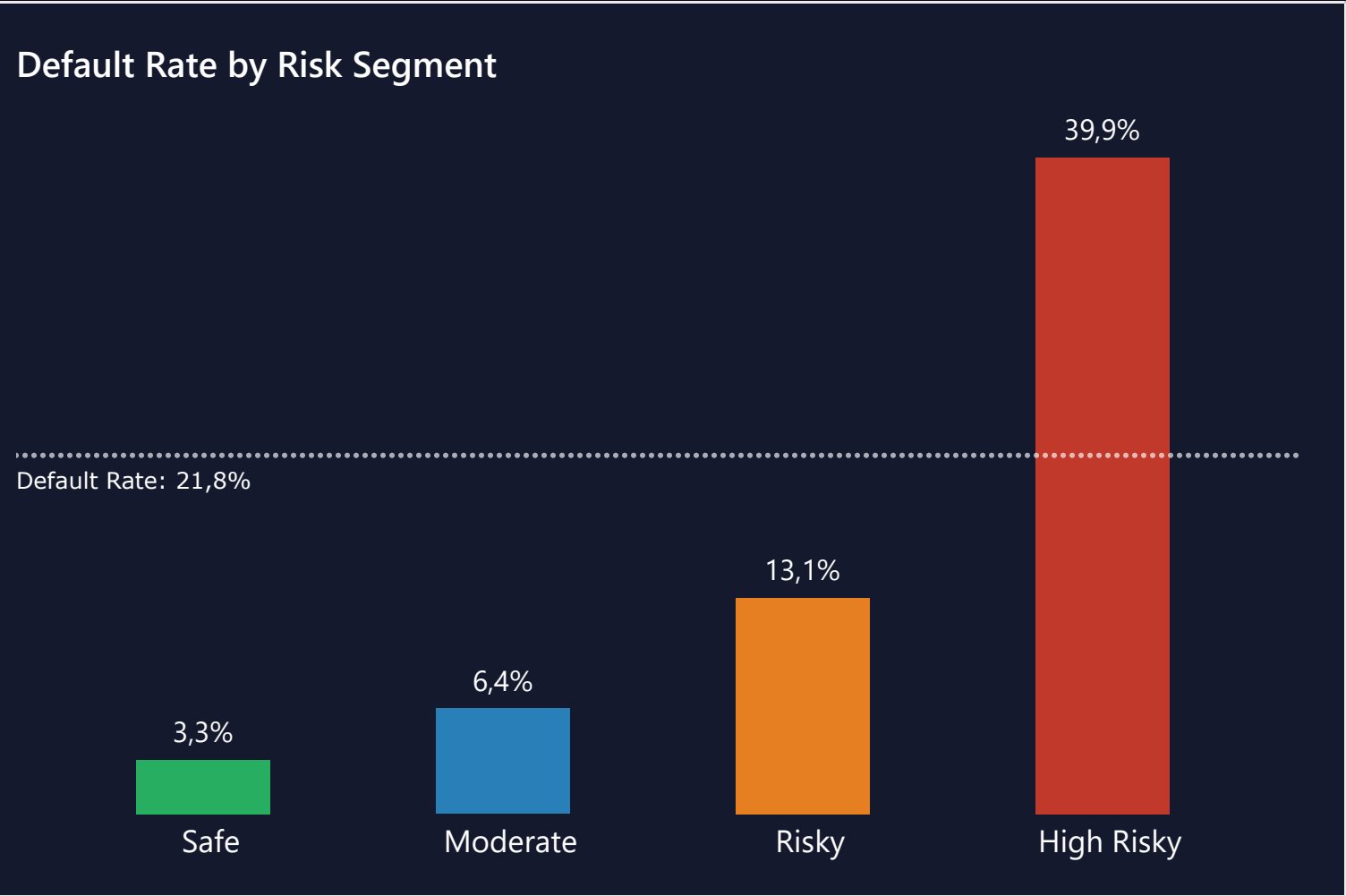
Total Expected Loss

EL Rate: 17.2% of portfolio

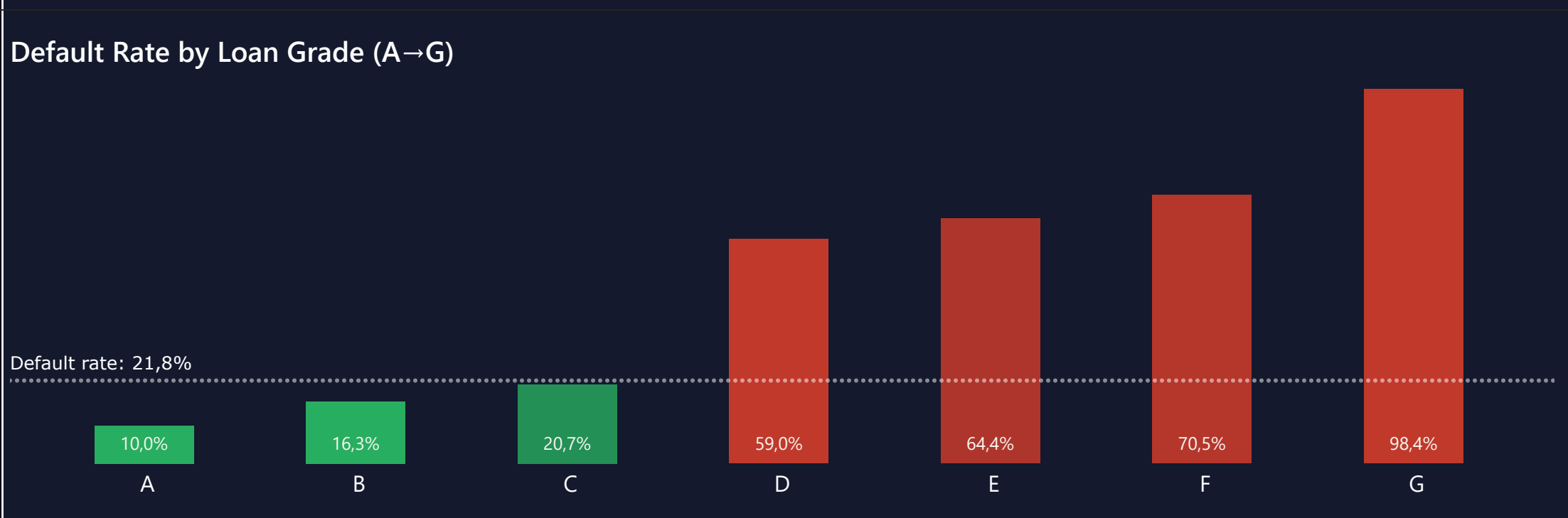
\$1.646

EL per Loan

High Risky: \$46,805,063



	Total Loans	Default Rate %	Avg Loan Amount	Avg Expected Loss	Expected Loss Rate (%)
High Risky	13.587	39,9%	12.330,75	3.444,84	27,94%
Moderate	9.257	6,4%	6.901,47	176,95	2,56%
Risky	7.832	13,1%	8.965,08	647,91	7,23%
Safe	1.898	3,3%	5.627,37	55,20	0,98%



Risk Driver Deep Dive

Income Band

income_band

All

Home Ownership

person_home_owner...

All

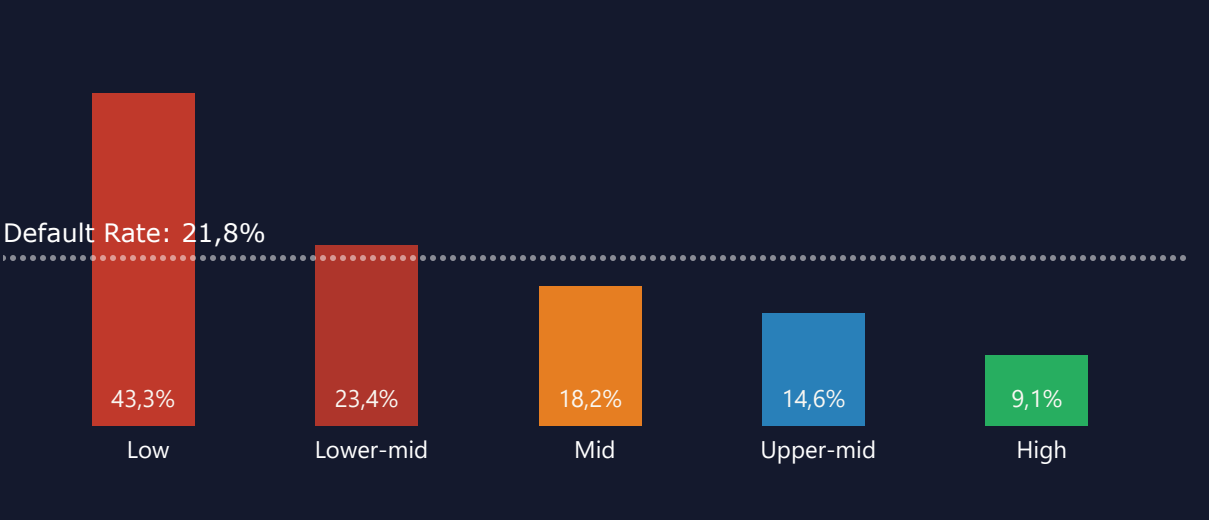
Loan Grade

loan_grade

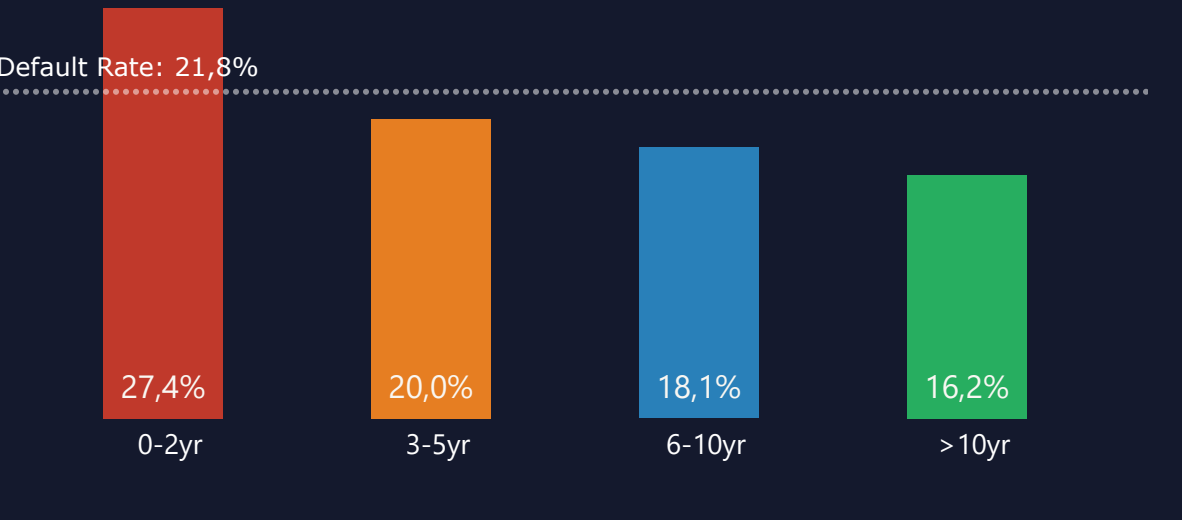
All

Income is the strongest predictor

4.7× gap Low vs High

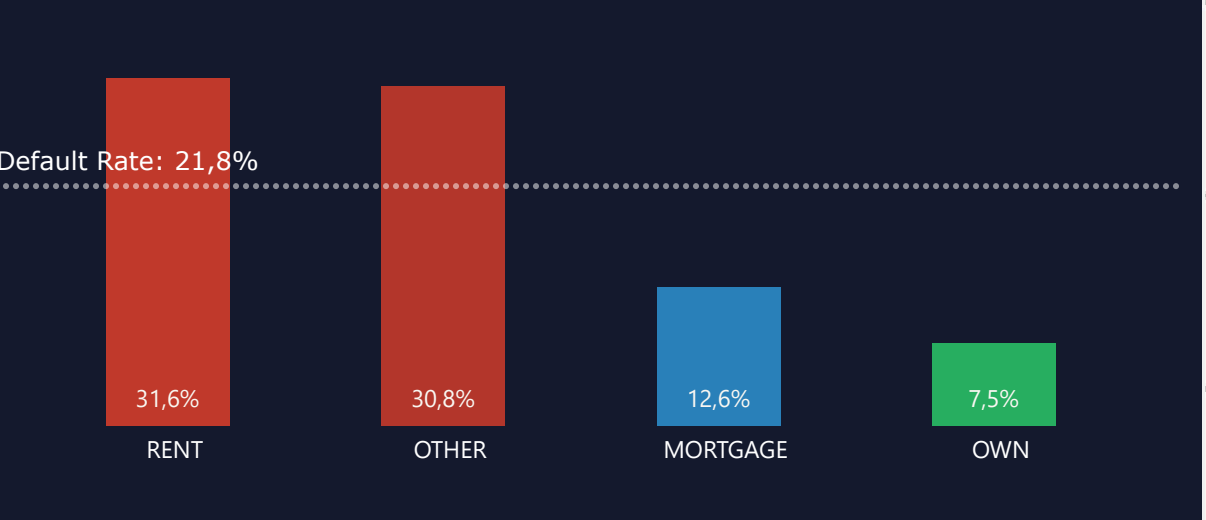


Default Rate gradually decreases after the second year

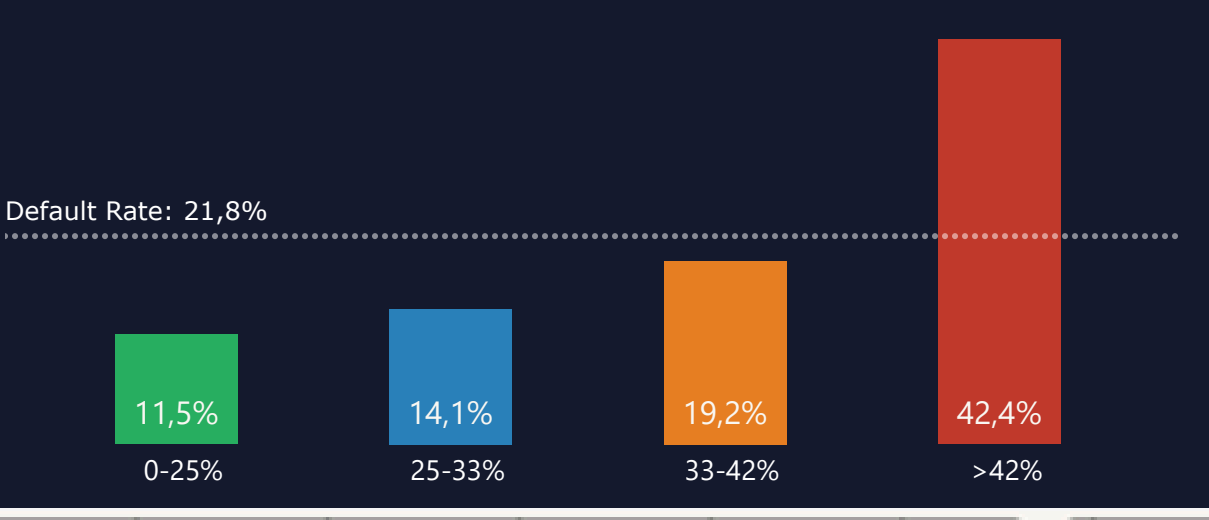


Default Rate by Home Ownership

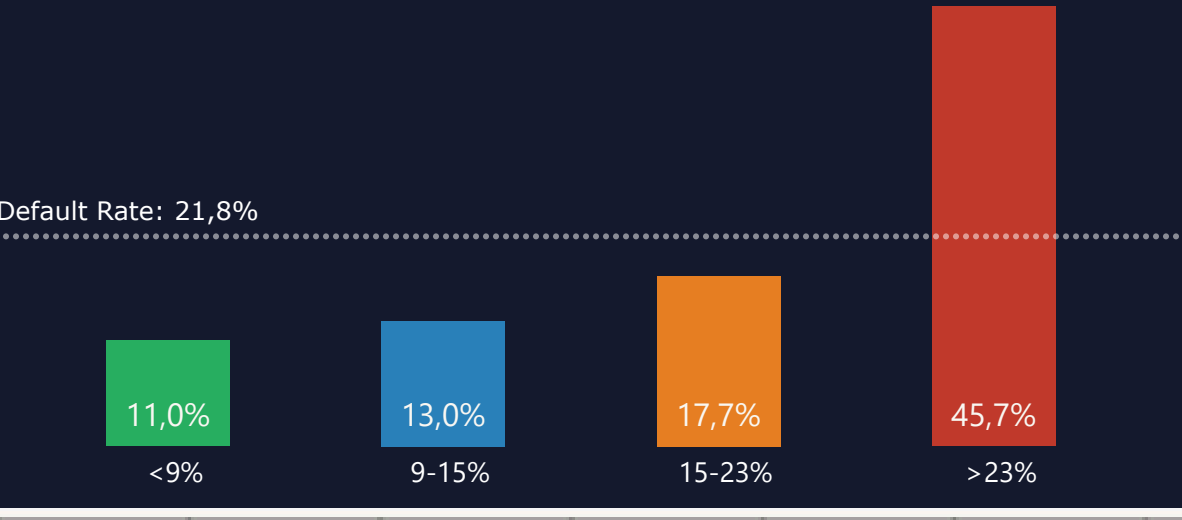
4.2× gap RENT vs OWN



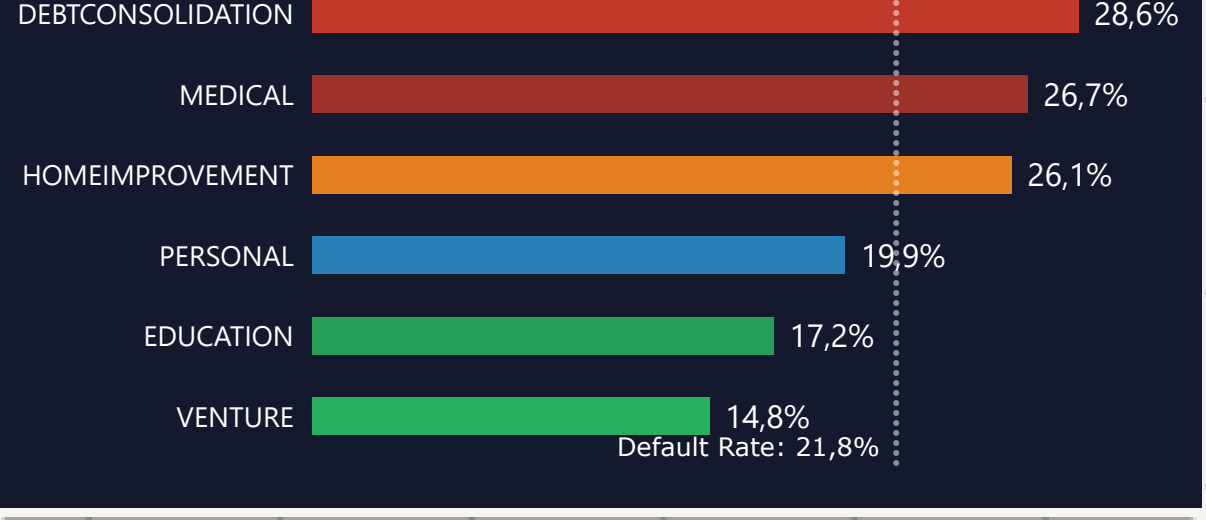
Default Rate by Loan to Income Ratio



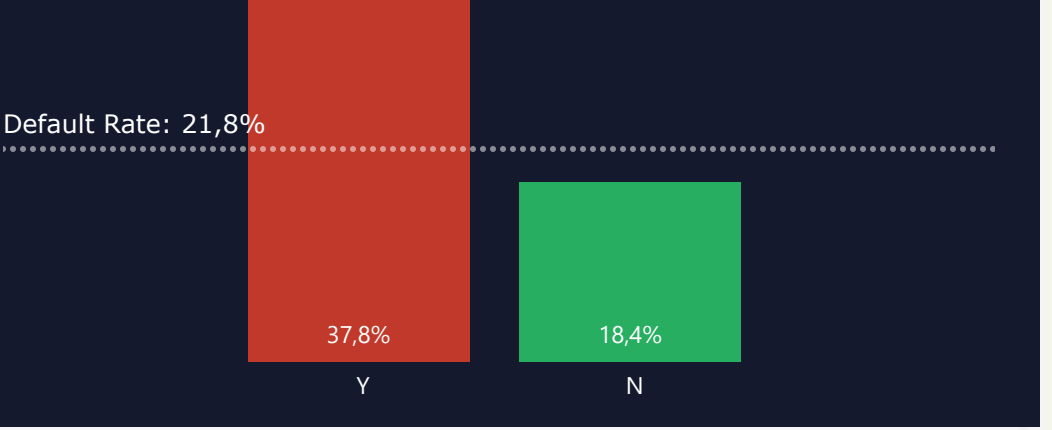
Default Rate by Debt to Income Ratio



Default Rate Loan Intent



Default Rate by Prior Default



Default Rate — Income Band × Loan Grade

	A	B	C	D	E	F	G
Low	31,3%	36,8%	39,9%	78,1%	87,5%	75,0%	100,0%
Lower-mid	10,6%	18,5%	23,4%	61,8%	72,7%	93,8%	92,3%
Mid	5,4%	13,6%	16,2%	57,2%	69,0%	76,2%	100,0%
Upper-mid	3,9%	8,9%	12,8%	52,8%	57,4%	66,7%	100,0%
High	1,5%	3,7%	6,4%	38,2%	42,0%	56,5%	100,0%

Default Rate — Home Ownership × DTI

	>42%	0-25%	25-33%	33-42%
RENT	60,3%	15,7%	18,8%	25,5%
OTHER	66,7%	5,0%	24,0%	13,8%
MORTGAGE	19,0%	9,3%	10,3%	13,7%
OWN	14,5%	0,7%	5,5%	6,9%

Expected Loss & Action Plan

\$53,6M

Total Expected Loss

EL Rate: 17.2% of portfolio

17,17%

EL Rate (EL/Portfolio)

0,87

Expected Loss from High Risky

\$1.646

Avg EL per Loan

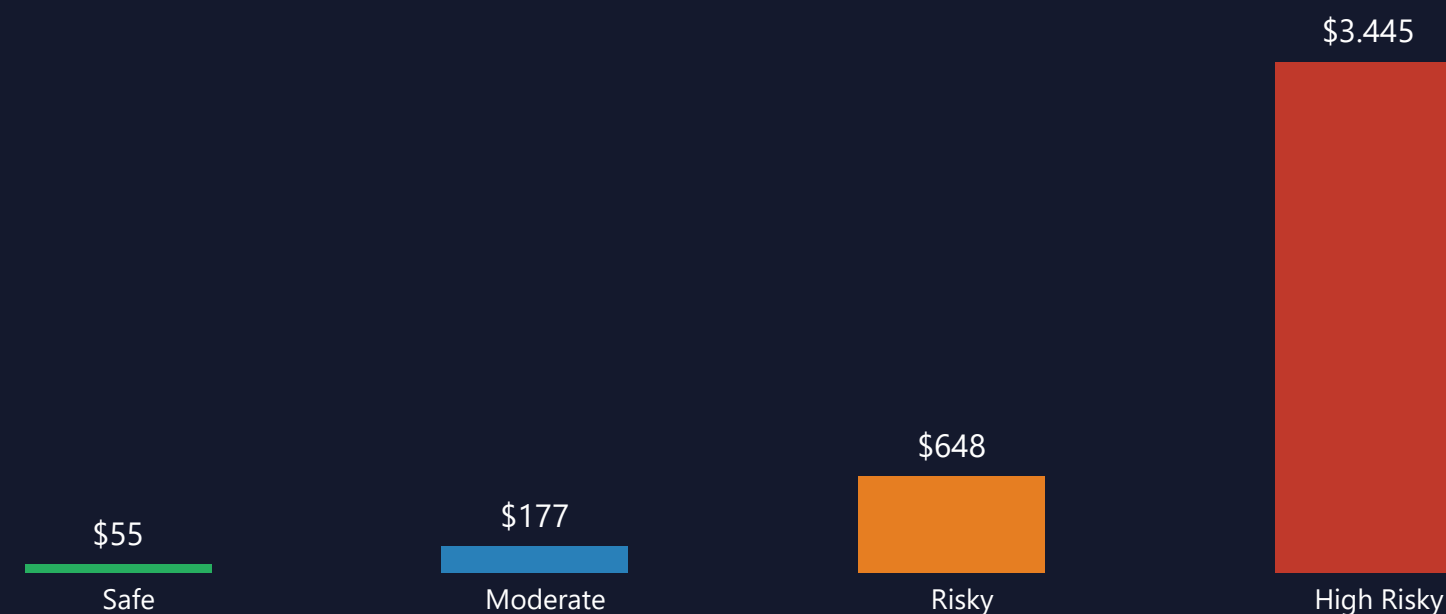
High Risky: \$46,805,063

4.894

Grade D+ Loans

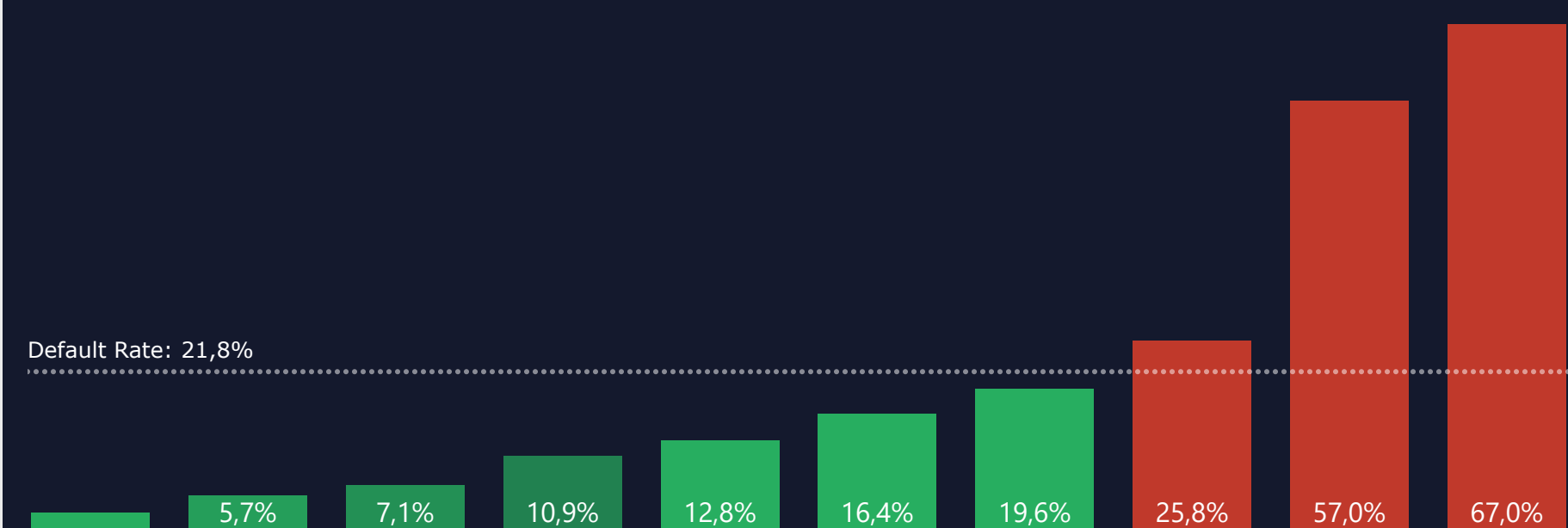
Expected Loss by Segment — Avg per Loan (\$)

High Risky avg EL = 65× Safe segment



Risk Score Validation — Default Rate by Decile

Default Rate by Score Decile



Action Plan — Policy Recommendations

#	Action	Target Segment	Expected Impact	Priority	Timeline
R1	Hard reject / manual review — Grade D+	Loan Grade includes D,E,F,G	Default Rate 59–98% → removed from auto-approve	🔴 Immediate	1–2 weeks
R2	Hard cap: Debt to Income Ratio greater than 42% + Low income → reject	Debt to Income ratio greater than 42% and Low Income (less than 5K)	Expected Loss High Risky reduction ~15%	🔴 Immediate	1–2 weeks
R3	Income verification — Debt Consolidation & Medical	Loan intent includes DEBTCONSOLIDATION, MEDICAL	Default Rate 27–29% → target ~20%	🟡 30 days	3–4 weeks